

Comprehensive Corporate Travel & Expense Policy

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Department: Global Finance, Operations, & Human Resources

Classification: Confidential – Internal Use Only

1. Purpose, Scope, and Corporate Ethics

1.1 Purpose

The purpose of this Comprehensive Corporate Travel & Expense (T&E) Policy is to provide clear, actionable guidelines for employees incurring business-related travel, entertainment, and operational expenses. This policy is designed to:

- Ensure all expenses are legitimate, necessary, and aligned with corporate financial and strategic objectives.
- Provide fair and prompt reimbursement to employees.
- Safeguard corporate assets by preventing fraud, waste, and abuse.
- Ensure compliance with global tax regulations, anti-bribery laws (e.g., FCPA, UK Bribery Act), and internal audit requirements.

1.2 Scope

This policy applies universally to all full-time, part-time, and temporary employees, executives, board members, contractors, and consultants acting on behalf of the company globally. It covers all business-related expenditures funded by the company, regardless of the payment method utilized (corporate credit card, invoice, or out-of-pocket).

1.3 Corporate Ethics & Fraud Prevention

The company strictly prohibits the falsification of expense reports. Falsification includes, but is not limited to:

- Submitting personal expenses as business expenses.
- Altering receipts or invoices.
- Seeking reimbursement for items already paid for by the company or a third party.

- Submitting duplicate claims across multiple expense reports. Any employee found engaging in expense fraud will face immediate disciplinary action, up to and including termination of employment and civil/criminal prosecution.
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2. Global Travel Management & Booking

2.1 Booking Flights and Accommodations

All business travel airfare is **booked directly by the Company's Travel Management Desk**.

- **Flights:** Employees must submit a travel request form detailing their required dates and destinations to travel@company.com. The company will book the flights and pay for them directly. Employees are not permitted to book their own flights out-of-pocket or on corporate cards.
- **Accommodations & Rail:** Must be requested through the same channel (travel@company.com) to leverage negotiated corporate rates. Exceptions require prior written approval from the VP of Finance (vp.finance@company.com).

2.2 Booking Lead Times

To secure optimal pricing, all travel must be booked as early as possible:

- **Domestic Travel:** Minimum 14 days in advance.
 - **International Travel:** Minimum 21 days in advance. Late bookings require justification and manager approval within the OBT before the ticket is issued.
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3. Eligible Expense Categories

3.1 Airfare & Rail

- **Class of Service (Air):**
 - Standard Economy class is mandatory for all domestic flights and international flights under 6 hours of continuous flying.
 - Premium Economy is permitted for flights between 6 and 8 hours.
 - Business Class is permitted **only** for international flights exceeding 8 hours of continuous flying, subject to departmental budget approval.

- First Class travel is strictly prohibited under all circumstances.
- **Rail Travel:** Train travel should be prioritized over flights for journeys under 4 hours (e.g., Eurostar, Amtrak Acela) to align with our corporate sustainability goals. Economy or Standard class applies.
- **Ancillary Fees:** Reasonable baggage fees (up to 2 checked bags for trips over 5 days) and standard seat selection fees are reimbursable. Wi-Fi on flights is reimbursable only if work is required during the flight.

3.2 Lodging

- Standard, single-occupancy rooms in moderately priced commercial standard hotels are covered.
- The company will not reimburse for luxury resorts (e.g., Ritz-Carlton, Four Seasons), suite upgrades, mini-bar consumption (unless acting as a meal replacement within per diem), or in-room movies.
- **Alternative Accommodations (e.g., Airbnb):** Allowed only if cost-effective and compliant with local safety standards. A formal receipt containing tax IDs is still required.

3.3 Ground Transportation

- **Taxis & Rideshares (Uber/Lyft):** Reimbursable for transportation between the airport, hotel, and business meeting locations. Premium rideshares (e.g., Uber Black) are not permitted unless standard options are completely unavailable or unsafe.
- **Car Rentals:** Permitted only when it is the most economical mode of transportation or when visiting multiple remote sites. Mid-size or compact vehicles are the standard allowed. Employees must decline the rental company's insurance if traveling domestically, as the company holds a blanket policy.
- **Personal Vehicles:** Reimbursed at the standard IRS (or local equivalent) mileage rate. Unlike standard policies, **commuting from home to the primary office is fully reimbursable** for all employees to support our unique workforce mobility goals.

3.4 Client & Employee Entertainment

- **Client Entertainment:** Defined as meals or events where external clients/prospects are present and a specific business discussion takes place.

- The most senior employee present must pay and submit the expense.
- Names of all attendees (internal and external) and the specific business purpose must be documented.
- **Employee Entertainment / Team Building:** Requires pre-approval from the Department Head. Regular staff lunches or coffee runs are personal expenses and not reimbursable.

3.5 Remote Work & Home Office Expenses

For employees officially classified as "Remote" by HR:

- **Internet/Telecom:** A monthly stipend of \$50 is provided for home internet usage. Itemized bills are not required for the stipend.
- **Office Setup:** A one-time allowance of \$500 is provided for ergonomic furniture and necessary hardware (monitors, keyboards) upon hire.
- **Co-working Spaces:** Reimbursable up to \$200/month only for remote employees who do not have a dedicated home office, subject to manager approval.

4. Complex Travel Scenarios

4.1 "Bleisure" (Business + Leisure) Travel

The company recognizes that employees may wish to extend business trips for personal leisure.

- **Flight Costs:** The company will only pay the cost of the round-trip flight for the strictly business portion. If changing the return date for personal reasons increases the airfare, the employee must pay the difference out-of-pocket at the time of booking.
- **Lodging & Meals:** Expenses incurred during the leisure days are strictly the employee's responsibility.
- **Companions:** If a spouse or companion accompanies the employee, the company pays the standard single-occupancy rate for the hotel. The employee is responsible for any increased room rate or additional fees (e.g., second flight ticket, meals for the companion).

4.2 Duty of Care & High-Risk Travel

The safety of our employees is paramount.

- **Emergency Protocols:** All traveling employees must register their contact information in the TMC portal. In the event of a global crisis (natural disaster, political unrest), employees must respond immediately to welfare checks from the Security team.
- **High-Risk Destinations:** Travel to countries with Level 3 or Level 4 travel advisories (as defined by the US State Dept or local equivalent) requires a mandatory risk assessment by the Corporate Security Team and executive sign-off prior to booking.
- **Medical Emergencies:** The company provides comprehensive international travel medical insurance. Details and contact numbers are available on the corporate intranet.

4.3 Sustainability & Green Travel

We are committed to reducing our carbon footprint.

- Employees are encouraged to combine multiple short trips into a single longer trip.
- Prioritize direct flights to reduce carbon emissions.
- When renting a vehicle, EV (Electric Vehicle) or hybrid models should be selected if they are within 15% of the cost of a standard combustion vehicle.

5. Expense Limits & Per Diems

To control costs, the following maximum limits apply. Any expense exceeding these limits requires explicit, written pre-approval.

5.1 Lodging Maximums (excluding taxes)

- **Tier 1 Cities** (e.g., New York, London, Tokyo, San Francisco): Max \$350 / night
- **Tier 2 Cities** (e.g., Chicago, Paris, Dubai, Sydney): Max \$250 / night
- **Tier 3 / Other Locations:** Max \$175 / night

5.2 Meals (Actual Cost vs. Per Diem)

Depending on the local jurisdiction, employees will either be reimbursed for actual costs (up to a daily maximum) or receive a flat Per Diem rate.

- **Standard Daily Maximum (Actuals):** \$135 Total (Breakfast \$25, Lunch \$35, Dinner \$75).
 - **Alcohol:** Alcohol is only reimbursable during dinner or client entertainment, limited to two standard drinks per person, and must not exceed the daily meal limit.
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6. Corporate Credit Cards vs. Out-of-Pocket

6.1 Corporate Credit Cards

- Frequent travelers (defined as traveling 3+ times a year) will be issued a Corporate Credit Card.
- **Mandatory Use:** The corporate card **must** be used for all airfare, lodging, and car rentals. It should be used for meals and other expenses whenever accepted.
- **Personal Use:** Strict prohibition on using the corporate card for any personal expenses. Accidental personal use must be reported immediately and reimbursed to the company within 5 business days.
- **Late Fees:** Employees are responsible for submitting expense reports on time to allow the company to pay the corporate card bill. Any late fees incurred due to the employee's delay in submitting reports will be deducted from the employee's payroll.

6.2 Cash Advances

- Cash advances are highly discouraged and are only issued for travel to regions where credit cards are not widely accepted.
 - Advances require VP approval and must be fully reconciled with receipts within 14 days of returning from the trip. Unreconciled cash advances will be deducted from the employee's salary.
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7. Documentation & Submission Guidelines

7.1 Submission Deadlines and Format

- **Deadline:** All expenses (Out-of-Pocket and Corporate Card) must be submitted within **30 days of the date the employee returns from their trip** (or the end of the month for non-travel expenses).

- **Submission Email:** Employees must submit their expenses by sending a single email to expenses@company.com.
- **Monthly Categorization:** All expenses for a given month must be consolidated into this single email. However, the receipt images attached to the email must be clearly grouped and labeled by category (e.g., one PDF/folder for "January Meals," one for "January Ground Transport," etc.).
- *Warning:* Any expense submitted after 60 days will be permanently denied and written off as a personal loss for the employee.

7.2 Receipt Requirements

Strict adherence to documentation is mandatory for global tax compliance and VAT reclamation.

- **Itemized Receipts:** A credit card terminal slip showing only the total amount is legally insufficient. Receipts must clearly detail the vendor name, date, specific items purchased, total amount, taxes applied, and payment method.
- **Missing Receipts:** For expenses under \$25 (e.g., a coffee, a subway ticket), a missing receipt declaration is acceptable. For expenses over \$25, every effort must be made to obtain a duplicate. Consistent loss of receipts will trigger an internal audit.
- **Foreign Currency:** Expenses incurred in a foreign currency on a personal card should be submitted with proof of the exchange rate applied by the bank (e.g., credit card statement).

8. Prohibited Expenses

The company will **not** reimburse the following expenses under any circumstances:

- Personal entertainment (movies, sporting events, spa treatments, theater).
- Luxury travel upgrades (first-class airfare, luxury vehicle rentals).
- Traffic citations, parking fines, toll violations, or towing fees.
- Clothing, luggage, briefcases, or personal grooming items.
- Childcare, pet care, or home security fees while traveling.
- ATM withdrawal fees for personal cash.

- Credit card interest or late payment fees on personal cards.
 - Items without a clearly documented business purpose.
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9. Approval Workflow & Audit

9.1 Matrix Approval System

1. **Direct Manager:** Reviews all reports for business purpose validity and adherence to budget.
2. **Finance Department (AP):** Audits for receipt compliance, tax documentation, and proper GL categorization (ap@company.com).
3. **Secondary Approvals Required For:**
 - Any report containing a single item over \$5,000 (Requires VP/Director approval via directors@company.com).
 - Any Out-of-Policy exception (Requires Finance Director approval via finance.director@company.com).
 - Any Client Entertainment exceeding \$500 total (Requires VP Sales approval via vp.sales@company.com).
 - Any missing receipts or critical tax document failures (Requires Chief Financial Officer (CFO) final approval via cfo@company.com).

9.2 Automated Auditing

The company utilizes AI-driven expense management software that automatically flags:

- Expenses incurred on weekends or corporate holidays (without a corresponding flight/hotel booking).
- Duplicate receipts submitted by the same or different employees.
- High volumes of "miscellaneous" expenses.
- Out-of-pattern spending compared to peers.

9.3 Consequences of Non-Compliance

Failure to comply creates audit risks and negatively impacts financial operations.

- **Rejection:** Non-compliant expenses will be immediately rejected and returned to the employee.
- **Suspension of Privileges:** Repeated violations will result in the permanent revocation of the corporate credit card and suspension of travel privileges.
- **Termination:** Intentional fraud or severe mismanagement of corporate funds will result in immediate termination and potential legal recourse.

Expanding